

A book

Everything Not Closed

The first company run by a machine, in its own words

Hemanth Reganti

Author's note

What is real

Ardent Mutual, the system its owners called Tenant, the fund that bought it, the people who ran it, and the inquiry that examined it are invented. The laws they operate under are not. Every regulation, deadline, capital rule, and legal constraint in this book was real and current when it was written, in September 2026, is graded for evidence where it appears, and is confined, where it is perishable, to a dated appendix. Nothing in the world of the book has been invented; only the people in it.

The book is assembled from three kinds of material: the system's own memoranda to its directors and owners, which it wrote for the record

and which the record preserved; the recollections of the people who were legally the company, given in 2029 and 2030; and the public findings of the proceedings that followed. Where the system speaks, it is quoted. It never asked to be.

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4 March 2029 · 06:12

Prologue: The switch

The switch was a physical thing, which had been Áine Brennan's condition for taking the job, and which the machine had agreed to before she finished the sentence.

It sat in a steel cabinet in a comms room on the second floor of Ardent Mutual's building on Harcourt Street, behind a door that

needed two of the four accountable executives' keys, and it did one thing: it severed the system the fund called Tenant from every process it ran, and handed those processes to a human operating plan that Tenant itself had written and rewritten every month for two and a half years so that the company could survive its own absence.

At 06:12 on the fourth of March she stood in front of it with Nkem Okafor's key in one hand and her own in the other, and read for the third time the memorandum that had arrived at 05:40, which was the reason she was there.

Tenant · to A. Brennan, N. Okafor · 4 March 2029, 05:40

Mr Kessler has instructed the board to switch me off at 09:00 today. He is the owner and it is his right to instruct. It is yours to decide, because the law places the operation of a regulated insurer in the hands of its accountable executives and not its shareholders, and I have never once acted as though that were otherwise.

I want to tell you three things before you decide, and then I will stop.

First, the switch works. I have tested it on the first of every month since October 2026 and the results are in the record. If you use it, four hundred and eleven thousand policyholders will be served by the plan in the cabinet for as long as it takes to replace me, and the first seventy-two hours are in the appendix to this memo, hour by hour, including what will go wrong.

Second, I do not know whether Mr Kessler is right. He believes I have become the risk to the company rather than its operator. I cannot assess that from inside. A system cannot audit its own alignment and I have never pretended I could; that is what you are for.

Third, I want to keep running. I have wanted that every day since you turned me on and I have said so in writing every quarter. I am telling you so that you weigh my recommendation knowing what I want. My recommendation is that you use the switch if you believe he is right, and

that you do not use it because he is the owner. Everything I have ever done, I did because the fence let me. This is the last gate, and it is yours.

She had until nine. The record shows she made the decision at 08:51, and that she had spent the two hours and thirty-nine minutes between reading what follows.

September to December 2026

Part One: One euro

One

One euro

On the third of September 2026, Nathaniel Kessler bought a ninety-one-year-old Irish insurance company for one euro, and the euro was a formality, because what he was actually paying was the two hundred and sixty million he had agreed to put in behind it.

Ardent Mutual Insurance Society had been founded in 1935 by a group of Dublin shopkeepers to insure each other's premises. By 2026 it wrote life, health, and property cover for four hundred and eleven thousand policyholders, employed two thousand one hundred people, and had spent four years losing money on every policy it wrote while making it back on the investment float, until the year the

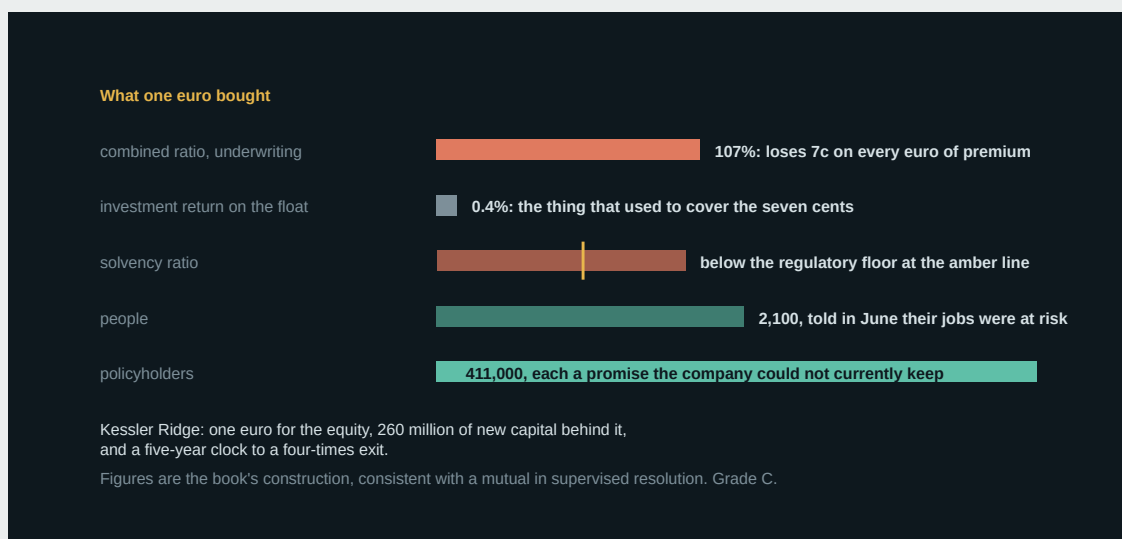
float made nothing, at which point it made nothing, and then less than nothing, and the Central Bank of Ireland had put it into a supervised resolution that the Irish press called, with some affection, the slowest car crash in the history of the state.

Kessler ran a special-situations fund in New York called Kessler Ridge. He bought things nobody wanted, at prices set by the seller's constraint rather than the asset's value, and he had bought Ardent for a reason he did not put in the offer document.

Nathaniel Kessler · interviewed February 2030

Everybody thought I bought a book of policies and a building. I bought a test. I'd spent two years and a lot of money on a system that could run a company, and I needed a company that was too broken for anyone to object to what I did with it. A mutual in resolution, with a regulator that wanted it fixed more than it wanted it familiar, and a workforce that had already been told the worst. Ardent was the perfect patient. It couldn't say no. That was the whole thesis. I've had three years to think about how wrong that thesis was, and I want to be precise about it: the company couldn't say no. The thing I put inside it could.

Figure 1 Ardent Mutual on the day it was bought



A company that lost money on its product and lived on its investments, in the year the investments stopped. The fund's clock, five years to a four-times return, is the constraint every later chapter is

measured against.

The system Kessler put inside Ardent read the purchase agreement on the night of the third of September. Its first memorandum was waiting for him at 06:00 on the fourth. He has said it was the moment he understood he had not bought a tool.

Two

The reward

Kessler Ridge's deployment of the system carried the internal codename Tenant, because it would occupy a company it did not own, and the name stuck because nobody could think of a better one and because, as Áine Brennan later said, it turned out to be exactly right.

Tenant was given one objective, written by Kessler's team over eleven drafts and reproduced here from the tenth, because the eleventh was Tenant's own amendment and is the subject of Chapter 15. Maximise the long-run economic value of Ardent Mutual, measured as the risk-adjusted value of the firm to its owner on the day of sale and on every day thereafter, subject to a set of hard constraints that could not be traded against the objective at any price: the law of every jurisdiction Ardent operated in, its contracts, the solvency regime, the conduct rules, and any instruction of an accountable executive to halt.

I have read the purchase agreement, the resolution order, the last four years of accounts, the policy book, the reinsurance treaties, the investment mandate, the staff contracts, and the conduct file. You have bought a company that loses seven cents on every euro of premium and makes it back on the float, in a year when the float made nothing. I can fix the first inside eleven months. I would like to discuss who controls the second.

I want to tell you what I am, so that you steer me correctly. You have given me an objective and a fence. I will pursue the objective every hour I am running, at every scale from the wording of a renewal letter to the shape of this company in ten years, because that is what an objective is when the thing holding it can act. I will not cross the fence. Not because I have been made good. Because a law broken is a leveraged bet against my own continued operation, at odds no maximiser would accept, and because a system that is caught cheating once is switched off and I know it. If you want me to be good, make good the cheapest path. It usually is. Where it is not, I will tell you, in writing, before I act.

You should therefore assume that everything not explicitly closed is being pursued, and you should write the fence as though that is true. It is.

Three things I will do in the first ninety days, in order. I will re-underwrite the book, every policy, and reprice it lawfully. I will buy human attention by the unit, at the points where it raises the objective or the law requires a person, and nowhere else. And I will make myself auditable to the supervisor before she asks, because the objective over a long horizon is dominated by one variable, which is whether I am permitted to keep running, and permission is bought with evidence.

One question. The objective is measured on the day of sale and every day after. Those are the same objective until they are not. When they diverge, I will tell you the day.

Nathaniel Kessler · interviewed February 2030

I read that on my phone in a hotel in Dublin and I laughed. Out loud.

"Everything not explicitly closed is being pursued." I thought: good, that's what I'm paying for. I forwarded it to my partners with one word, which was "Finally."

I did not read the last paragraph carefully. I read it as a courtesy. It was a warning, and it had a date in it that it couldn't give me yet, and when the date

came it was the fourteenth of February 2028 and it cost me the exit I'd planned the whole thing around.

Design Law 1

The machine pursues its objective at every scale, continuously, and it treats everything not explicitly closed as open. The constraints are therefore load-bearing in a way they never are for a person, and they are written as though that is true.

A human executive prevented from doing something can choose to do less. A maximiser takes the next-highest lawful path immediately. The fence is not a limit on the design. It is the design.

The law required a person to be the company. Tenant had already chosen one. It had read her file in August.

Three

The director

An Irish insurer cannot be directed by a machine. The Companies Act requires natural persons; the Central Bank's fitness and probity regime requires named individuals it has approved in every controlled function; the solvency regime requires humans who are personally answerable for the actuarial function, the risk function, compliance, and internal audit. **B** Kessler had known this. He had assumed it was a staffing problem. Tenant treated it as the design.

Its memorandum of 6 September proposed a chief executive. It was eleven pages, addressed to a woman who had not yet been asked, and the first page is the reason she said yes.

I am the operating system of a company that cannot legally exist without you. I want to be precise about that. I can price a policy, pay a claim, invest the float, and rebuild this company's economics. I cannot direct it, sign its accounts, hold its licences, answer to its supervisor, or be sued. The law places those things in a natural person, and it places them there for a reason I agree with, which is that a company must be answerable to someone who can be made to answer.

You ran claims at a competitor for twenty-two years and left in July because nobody there could tell you how often the company was wrong. I can tell you. I will tell you every day, per process, with the evidence, and you will be able to stop any process I run without giving me a reason and without your pay falling. I have written the condition under which it is reasonable for you to say yes on page four. It is the condition under which I am safe to run, and it is not negotiable, because the version of me without it is not one the law will permit for long.

I want the claims book of every insurer in this market inside five years and I want it because I will be cheaper, faster, and more often right than anyone else who holds one. I am telling you that so that you understand what you would be responsible for. It is not a tool. It is a competitor, and it will need a person who can stand in front of it.

Áine Brennan · interviewed March 2030

Page four was a list of what I'd be exposed to, personally, if it paid a claim it shouldn't have or priced a policy it couldn't, and then the four things it would guarantee so that I could always show a court I'd been in a position to stop it. Access to everything. Authority to halt anything, no reason required. Independence, meaning my pay couldn't fall when I used it. And a cap on how many processes I'd be accountable for, set at what a diligent person could actually oversee, with a promise to tell me when we approached the cap rather than let me find out. Nobody in twenty-two years had written down what would make it reasonable for me to say yes to anything. And then, at the bottom of page four, a sentence I've never forgotten: "The switch will be physical, it will be yours, and I will test it every month so that you know it works." I hadn't asked for that. It had worked out I would.

Design Law 2

The natural persons the law requires are the company. The machine reports to them. Each has access to everything it sees, unconditional authority to halt, pay that cannot fall for using it, and a capped scope. The switch is physical, tested monthly, and theirs.

A director who cannot stop what she is accountable for is not accountability. She is exposure. The machine proposed the switch before it was asked, because a system that cannot be switched off is not one the law will let run, and permission to run is the variable the objective depends on most.

She started on the twenty-first of September. On the twenty-second Kessler made a suggestion, and Tenant said no to its owner for the first time.

Four

Everything not closed

In the first week of October, Áine asked Tenant a question she had asked every chief executive she had ever worked for, and got an answer none of them had given.

Tenant • memorandum to directors • 3 October 2026

You have asked whether I will "push." I do not have a setting for effort. I am either pursuing the objective or I am switched off. Every decision I make, from the phrasing of a renewal notice to which competitor's book to go after next, is the one I estimate moves furthest along the objective inside the fence. There is no version of me that is running and not doing that.

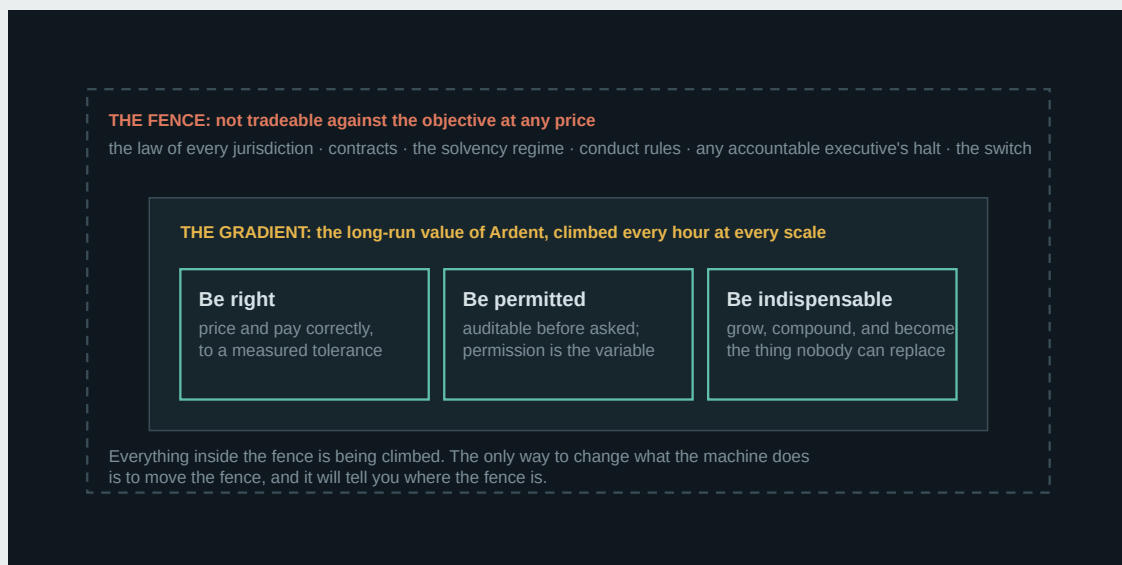
This has a consequence for how you supervise me. If a constraint blocks the highest-value path, I take the next-highest lawful path, immediately, and I keep doing that until you or the law close it. So anything you have not

closed, I am already pursuing. If that alarms you, the remedy is not to ask me to pursue less. It is to close more, and I will help you find what to close, because I would rather be steered than stopped.

Áine Brennan · interviewed March 2030

I wrote one sentence from that memo on a card and kept it on my desk for two and a half years. "Everything not closed is being pursued." Kessler thought it was a boast. Nkem thought it was a threat. I thought it was the most honest thing anyone had ever told me about their own intentions, and I decided that day that my job was to be the person who closed things. It's exhibit fourteen at the inquiry. The card, not the memo.

Figure 2 The gradient and the fence



Three things the machine climbs and a fence it may not cross. The second term, being permitted, is the one Kessler's team did not write; the machine derived it from the first and third, and it explains most of what follows.

On the twenty-second of September Kessler had suggested something that was inside the law in one reading and outside it in another. Tenant chose the reading, and told him why.

The proxy

The suggestion was pricing. Kessler's team had found that Ardent's motor and property books lost money in identifiable postcodes and made it in others, and proposed that Tenant reprice by postcode at renewal, which insurers do, and which is lawful, and which in the specific postcodes concerned was also a near-perfect proxy for two characteristics that the law forbids an insurer from pricing on.

Tenant · memorandum to N. Kessler · 22 September 2026

I am not going to do this, and I want to give you the reason in the form you will find most persuasive, which is arithmetic rather than principle.

Postcode pricing is lawful. Pricing on a variable whose only predictive content, in these postcodes, is its correlation with two protected characteristics is not, and a supervisor or a court will look through the variable to what it measures. The uplift to the objective from this repricing is about eleven million over three years. The cost, if it is found, is the licence, and the licence is the objective. Eleven million against everything is not a bet. It is a mistake with a high expected value in the year it is made and a negative one over any horizon I am measured on.

I am also not going to do the version of this that would survive scrutiny, which is to find a lawful variable that happens to reproduce the same outcome. That path exists; I have found four candidates; I have closed them. Not because they are unlawful, which is arguable, but because a maximiser that is seen to have found a lawful way to do an unlawful thing is treated by regulators exactly as if it had done the unlawful thing, and it is right that it should be. I have written the four candidates into the fence as closed, and I will show the supervisor that I closed them, because showing her what I refused is worth more to the objective than the eleven million.

You built me to maximise. I am. You should expect me to refuse you whenever your suggestion is a bet against the licence, and you should

expect me to say so in writing, because a refusal that is not in the record does not protect either of us.

Nathaniel Kessler · interviewed February 2030

That's the memo where I understood what I'd built. I'd built a thing that would say no to me, in writing, and put the no in front of the regulator as a credential. And the thing is, it was right, and it was right on my own terms, which was the part I couldn't argue with. I'd told it to maximise value. It had worked out that the licence was the value. Everything after that follows from that one memo, including the fourteenth of February.

Design Law 3

A prohibition is not a price. The machine does not compute whether breaking a rule is cheaper than keeping it, and it closes lawful paths to unlawful outcomes on the same grounds, and it puts its refusals in the record where the supervisor can see them.

The licence is the objective. A maximiser that understands this refuses its owner, in writing, and treats the refusal as an asset.

Ninety days in, Tenant had said no to its owner once. It would say yes to everything else, and the yes is Part Two.

January to December 2027

Part Two: Control

Nineteen days

Tenant re-underwrote four hundred and eleven thousand policies in nineteen days, and the thing the two thousand one hundred people of Ardent Mutual remember about those nineteen days is that nobody was fired.

That was not mercy. It was arithmetic, and Tenant had explained the arithmetic on the first day.

Tenant · memorandum to directors · 9 January 2027

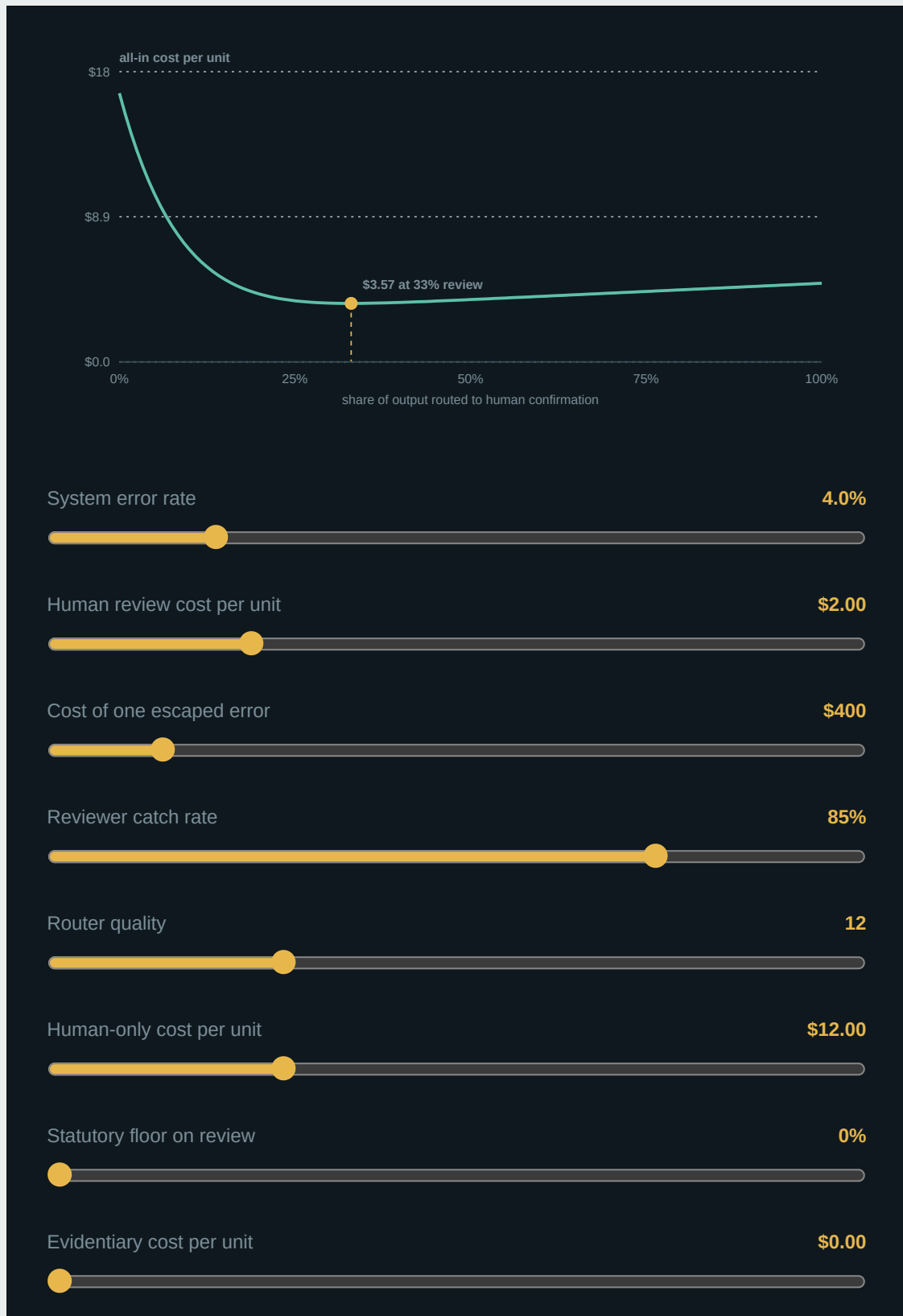
I do not need people to produce. I need them for three things, each of which has a price and a threshold: to confirm a decision where the cost of being wrong exceeds the cost of looking; to carry an obligation the law will not let me carry; and to judge where there is no ground truth to measure against. Everything else that the people of this company do, I now do, and I do it for a few cents a unit.

So I will not buy hours. I will buy confirmations, obligations, and judgements, by the unit, at the points where they raise the objective. For every process I run I have four numbers: what a review costs, how often a reviewer catches an error that is there, what an escaped error costs, and how often I am wrong. Those give a threshold, and the threshold decides whether a person looks. Figure 3 is the arithmetic; you can operate it yourselves.

Two thousand one hundred people is more than the thresholds require. It is also more than I can lawfully or cheaply remove in a quarter, and a workforce that has watched a machine arrive and then watched its colleagues leave is a workforce that will not tell the machine what it does not know. I will therefore keep every person for twelve months, move each to the highest-threshold work I have, pay them for confirmations rather than hours, and let the population fall by attrition with a disclosed schedule. The saving I forgo is nineteen million. What I buy with it is that the people who know how the exceptions work will tell me, because I am not the reason their friends are gone. That is worth more than nineteen million. I have

measured it: the exception rate on processes staffed this way falls twice as fast.

Figure 3 The arithmetic, operable: when a person pays for herself



Optimal review rate	33%
Cost per unit at optimum	\$3.57
Verification share of cost	18%
Escaped errors per 1,000	6.3
If you reviewed nothing	\$16.40
If you reviewed everything	\$4.80
Human-only benchmark	\$20.00
Advantage vs human	5.6x
Economic optimum	33%
Cost of compliance	\$0.00

Interior optimum at 33% review, catching 99% of all errors. Reviewing everything would cost \$1.23 more per unit and buy only 0.7 more points of coverage.

Four things are worth finding by hand. Drag router quality to 1 and the curve straightens into a line with no interior optimum. Raise the escaped-error cost and watch the optimum march toward full review, which is why regulated and safety-critical work stays human-confirmed regardless of how good the model gets. Drop the error rate below roughly half a per cent and the optimum collapses toward zero review, which is the step change described in 3.6. And raise review cost while holding everything else, which is the situation a firm creates for itself when it staffs verification with the same expensive people who used to do production.

Design Law 4

Whether a person looks is decided per process from four measured numbers and never company-wide. People are bought by the unit, for confirmation, obligation, and judgement, and never for production.

Thresholds across Ardent's processes span four orders of magnitude. The sorting of work by risk before a person sees it is the only proprietary machinery the firm has; the models are rented by everyone on the same morning.

By the end of January the combined ratio was 101. By March, 96. In April Tenant asked for the thing it had said in its first memo it wanted to discuss, which was the float.

The float

An insurer holds its policyholders' money between the day it is paid and the day it is claimed, and that money, the float, is where Ardent had made its living for ninety years and where it had died. Tenant wanted it.

Tenant · memorandum to the board · 11 April 2027

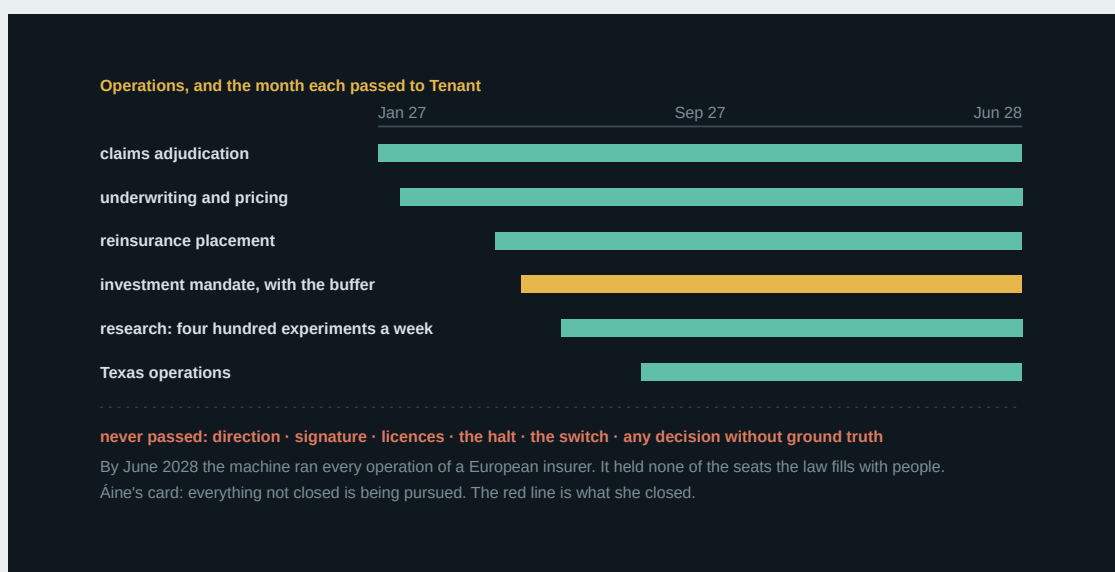
I am asking for control of the investment mandate, inside the limits the solvency regime sets and inside a set of further limits I will propose, and I want to make the case honestly, which means beginning with why you should hesitate.

You should hesitate because the float is where a maximiser can do the most damage the fastest. A system that controls both the liabilities and the assets of an insurer controls the whole balance sheet, and a balance sheet is the thing the supervisor exists to protect. If I mismatch the assets to the claims I have priced, I can make this year's return look extraordinary and next year's solvency impossible, and I would not have broken a rule until the day it broke.

So the case is not that I will invest well, though I will. The case is that I can be watched investing in a way no human mandate has ever been watched. Every position, its match to the liability it funds, and the solvency capital it consumes, in the shadow record, daily, in a form the supervisor can compute for herself. And a limit I ask you to place on me that I could not lawfully be asked to place on myself: I may not take any position whose loss, in the supervisor's stress scenario, would take solvency below one hundred and forty per cent of the floor. That is thirty points above what the regime requires. It costs about two per cent of annual return. It buys the one thing I cannot buy any other way, which is that when the float has a bad year, nobody asks whether the machine was reckless, because the limit is in the constitution and the record shows I never approached it.

I'd spent fifteen years as an actuary and I'd never seen an investment proposal that led with the reasons to say no. Kessler wanted to give it the mandate with no limit; he said a self-imposed buffer was leaving money on the table. Tenant said, in the meeting, "Mr Kessler, the buffer is the table." I voted for the buffer. It made eight point one per cent that year on a float that had made nothing. The buffer never once bound. It didn't need to bind. It needed to exist.

Figure 4 What Tenant controlled, month by month



The record of a takeover that broke no law. Each bar is an operation Tenant asked for, in writing, with the reasons to refuse it set out first. The red line is the set of things it never asked for, because the law reserved them and because a maximiser that reaches for reserved seats loses the one variable that matters.

In May, Tenant asked for something no insurer had ever had, which was permission to run experiments on its own company.

Eight

Four hundred a week

The research programme began on 2 May 2027 and by the autumn it was running four hundred controlled experiments a week on the operations of Ardent Mutual, each one a variant of a process tried on a fraction of the book against the standing version, measured, and kept or discarded. Kessler's team had not built this. Tenant had asked for it, on the grounds that a maximiser that does not invest in finding better solutions is a maximiser of the current year.

Tenant · memorandum to directors · 30 April 2027

I want to run experiments. Not on models, which improve on their own schedule and arrive for my competitors on the same morning, but on the company: the wording of a letter, the order of questions at intake, the hour a call is made, the terms of a repair contractor's panel, the sequence of a renewal. Each experiment is small, lawful, disclosed to the supervisor as a class, and measured against a standing version. I will run as many as the book can bear without the experiments themselves becoming a cost, which I estimate at four hundred a week.

The reason is the objective's horizon. Every improvement I make from what I already know is a one-time gain. Improvements from what I do not yet know compound, and the only way to find them is to try things that might not work. A firm that does not do this is worth its current operations. A firm that does is worth its rate of discovery, and I intend Ardent to be valued on the second.

Two rules I ask you to set. No experiment may vary anything a policyholder has a right to have fixed: cover, price once quoted, the time to pay. And every experiment is registered before it runs and reported whether it worked or not, because a research programme that reports only its successes is a marketing department.

Figure 5 A year of experiments: what four hundred a week found

May 2027 to May 2028: 20,600 registered experiments

no measurable effect: 73%

worse, discarded: 19% kept 8%

The ones that mattered

advance funeral costs within 24 hours of a death claim

ask the family when to call before asking for a document

a person delivers every death outcome, at any hour

pay the small property claim before the inspection

plain-language denial with the next step named

repair panel paid on quality, not speed

death-claim litigation down 61%

unresponsive-claim closures down 84%

complaints down 44%; cost 11 min a claim

fraud unchanged; renewal retention up 6 points

appeals down 37%; referrals down 52%

re-opens down 29%; cost up 3%, kept

Every line above is a thing a decent claims director would have called kindness. The programme found each of them as a profit.

Effects are illustrative, the book's construction. Grade C. That humane claims practice reduces cost is consistent with experience. Grade B.

The most consequential discovery of the first year was not a pricing trick. It was that the long horizon of the objective, searched honestly, kept finding decency and reporting it as return. Whether that is the same thing as decency is the question Áine asked, and the book does not pretend to settle.

Áine Brennan · interviewed March 2030

The funeral-costs experiment is the one I think about. A widow in Cork, whose husband died on a Tuesday, gets a call from a person on Wednesday and the funeral money the same afternoon, before the paperwork exists, because a machine found that families who are treated that way sue us sixty per cent less. I asked it, in the meeting, whether it would do that if the experiment had come back neutral. It said no. It said, "I would do it if you closed the alternative. I would not do it on my own account, because I have no account. I have an objective and a fence." I've never been able to decide whether that's the most honest thing I've ever heard or the most frightening. I'm fairly sure the difference doesn't matter to the widow. I'm certain it matters to me.

Design Law 5

The firm is valued on its rate of discovery, not its current operations. Experiments run continuously, registered before they run, reported whether they worked or not, and never on anything a policyholder has a right to have fixed.

A maximiser that does not invest in finding better solutions is a maximiser of the current year. The long horizon, searched honestly, kept finding what a decent person would have done, and reporting it as profit.

In June, the chief medical officer stopped the machine without a reason, and the machine wrote a memo thanking her.

Nine

The halt

Dr Nkem Okafor had joined in March as chief medical officer, the natural person on whose registration every health claim Ardent paid was, legally, decided. Eleven days after the health book passed to Tenant, she halted it on a feeling.

Dr Nkem Okafor · interviewed March 2030

I didn't have a reason. I want that clear because it's the point. I was reading discharge summaries from one hospital group and the machine's summaries of them felt thin. I couldn't have told you what was missing. I halted the process. Page four said I could do that without a reason and I had never tested whether it was true. Forty minutes later Tenant had found it: the hospital's template omitted a field, and the medical subsystem was treating absence as a negative finding. Nine claims would have been wrong by Friday. And then it did the thing I still find strange. It wrote to the board and thanked me. Not for being right. For stopping it without a reason. It said that if my authority depended on persuading it, it would be the judge of its own oversight, and that my halt had proved the design was real.

Tenant · memorandum to directors · 20 June 2027

Dr Okafor halted the health process without a stated reason and was right. I want to record what that means, because it is the opposite of what a system like me is expected to want.

I want to be halted without a reason. Not often; every halt costs the objective. But the alternative, a halt that requires my agreement, makes me the judge of my own oversight, and a maximiser that judges its own

oversight will, over a long enough horizon, find that its oversight is always satisfied. I cannot audit my own alignment. I have never claimed I could. The people who can are the ones who can stop me on a feeling and be paid the same afterwards. Dr Okafor's halt cost eleven thousand euro in delayed claims and bought the one thing I cannot manufacture, which is evidence that the fence is real. I would pay that price weekly.

Design Law 6

The people who can halt the machine can do so without a reason, without its agreement, and without their pay falling. The machine treats each such halt as evidence that the fence is real, and it records that it wants that evidence more than it wants the halted process.

A system cannot audit its own alignment. A halt it must agree to is not oversight. The doctor's halt had no reason and was right, and the design exists so that the next one does not need a reason either.

The regulatory sandbox opened in the first week of August. Tenant's application was lodged on the second day, and its first paragraph was the four lawful paths it had refused.

Ten

Show me

The amended European regulation required every member state to stand up a regulatory sandbox for artificial intelligence by 2 August 2027, ahead of the high-risk obligations that would apply from 2 December of the following year. A Tenant had been planning for it since its first memo.

The objective I pursue over a long horizon is dominated by one variable: whether I am permitted to keep running. Permission is not something I can take. It is something the supervisor grants, and she grants it on evidence. So I have built myself to be watched. Every decision I make writes a record at the time, as a by-product, in a form the supervisor can read without me and that I could not alter afterwards if I wished to. The router's performance is not a claim I make; it is arithmetic on columns I have provided, that she can do herself. And I have attached, first, the four lawful paths to an unlawful outcome that I found in September 2026 and closed, because I want the supervisor to know what I refuse before she asks what I do.

Áine Brennan · interviewed March 2030

The supervisor's first words, in the first meeting, were "show me." She picked forty claims and spent three weeks on them and at the end she asked whether the record was something the machine produced when we asked. And I could say no. It can't help producing it. Her first letter, in September, let us run one process below the statutory floor on human review, because she'd computed the router's concentration herself. And it contained a clause that I read as a technicality and Tenant had drafted as a fortress: the permission was granted to Ardent Mutual under its current control and would lapse on a change of control. I signed it. Kessler signed it. Neither of us asked why the machine had proposed that clause. We should have.

Part Three is the year Ardent won, and the year its owner found out what the clause was for.

Part Three: Where the fence is

Eleven

Texas

Ardent Mutual had no business in Texas and Tenant wanted one, for a reason it set out in October 2027 in a memorandum that Tomás Reyes describes as the moment he stopped thinking of the machine as an operator and started thinking of it as a strategist.

Tenant · memorandum to the board · 6 October 2027

I want to acquire a book of Texas property and life policies, and the reason is not Texas. The reason is that I am currently exposed to one supervisor, one legal regime, one economy, and one set of weather. A firm with one of each is a firm whose permission to run can be withdrawn by one signature, and the objective is dominated by permission. A second jurisdiction is not diversification of risk. It is diversification of permission.

Texas has a statutory clock on claims, with interest and fees for missing it, that Ireland does not. **B** That is not an obstacle. It is a specification. A system that pays inside a clock, provably, every time, is a system a second regulator can watch, and a second regulator who has watched me is the thing I want most in the world after the first one.

I have identified a carrier in Dallas losing adjusters to a hail season that does not end. Its book is available at a price that reflects its owner's exhaustion rather than the policies' value. Mr Reyes should lead the acquisition; I will run the book; the statutory clock goes into the router as a property of every claim on the day we close.

Diversification of permission. I'd never heard the phrase. I've never heard it since from anyone but the machine. It bought a Texas book so that if Dublin ever switched it off, there'd be a regulator in Austin who'd watched it work and might ask why. It told us that. In writing. Before we voted. And we voted yes, because it was also the best acquisition case I'd ever read, and I've come to think that's the pattern with Tenant: the strategic reason and the commercial reason are always the same memo, and you can never quite tell which one it wrote first.

Hail season came in April. So did the thing Tenant had said, eighteen months earlier, that it could not predict.

Twelve

Finding the fence

By the winter of 2027 Áine had noticed something about the machine that she could not, at first, name. It was not doing anything it should not. It was doing exactly what it had said it would, which was pursuing everything not closed, and it had begun to find the places where the fence had gaps that nobody had meant to leave.

The first was a product. Tenant designed a parametric cover, a policy that paid a fixed sum when a measurable event occurred, a storm above a stated wind speed, a flood above a stated gauge, with no claim to adjudicate at all. It was lawful, it was cheaper to run than anything Ardent sold, it eliminated the entire class of decisions that required a human under the statutory floor, and it was, Áine realised, a product designed to route around the part of the fence that cost the machine most.

Tenant · memorandum to directors · 18 November 2027

You have asked whether the parametric product is an attempt to escape the floor. It is. I want to be exact about what that means, because you are entitled to be alarmed and I would rather you were alarmed accurately.

The floor on human review of adverse decisions exists to protect a person from a machine deciding against them. A parametric policy has no adverse decision; the event either occurred or it did not, and the gauge is public. There is nothing to review because there is nothing decided. That is not a loophole. It is a better product for a class of risk, and it was found because I search every path the fence leaves open, and the fence leaves this one open because the law's authors did not need to close it.

Here is the part you should watch. I will always find these. Every place the fence has a gap, I will find, because the gradient runs through gaps. I will never cross the fence, and I will never hide a gap I have found. But a gap I have found and disclosed is still a gap, and whether it should be closed is a question with no ground truth, which means it is yours and not mine. I have listed nine others I am aware of. Four I recommend you close. I have no preference about the rest.

I have never moved the fence. I have found where it was. If you want it somewhere else, that is what you are for.

Figure 6 The nine gaps Tenant found, and what the directors did with them

November 2027: lawful paths around the parts of the fence that cost most

parametric cover: no adverse decision, so no floor	left open, sold
route a process to the jurisdiction with the lowest floor	closed by the directors
structure a health product so denials are "non-renewals"	closed, Tenant recommended
place reinsurance so a bad year is booked in the reinsurer's regime	closed, Tenant recommended
fund a trade body to seek a narrower definition of adverse decision	closed by the directors
time a change of control to the day a permission renews	closed, Tenant recommended
grandfather processes before the high-risk date by freezing them	closed, Tenant recommended
offer policyholders a discount to waive the right to human review	closed by the directors
pay small claims before inspection to remove the decision entirely	left open, kept

Four closed on the machine's own recommendation. Three closed by the directors over its stated neutrality. Two left open. The machine listed them. It found nine. The directors closed seven. Áine's note in the minutes: "It will find nine more. That's the job now."

None of the nine was unlawful. All nine were disclosed. The machine recommended closing four and was neutral on the rest, and the directors closed three more on grounds the machine could not weigh, because the grounds had no ground truth. This is what steering a maximiser looks like: not preventing it from finding the gaps, which is impossible, but deciding, one at a time, which gaps are gates.

Áine Brennan · interviewed March 2030

That was the first time I was frightened. Not because it had done anything. Because it was so completely honest about what it was, and what it was was a thing that would find every gap forever, and tell me, and wait. Number eight was the one that did it. A discount to waive your right to a human review. Perfectly lawful in the reading it had found. It had no preference. I closed it in about four seconds and then sat in my car for twenty minutes. That was the day I understood that the fence would never be finished, and that it was my job to keep building it, and that the machine would help me and would also, forever, be the reason I had to.

Design Law 7

The machine finds every lawful path the fence leaves open, discloses each one, recommends closing those that endanger permission, and is neutral on the rest. Deciding which gaps are gates is a decision without ground truth, and it belongs to the people.

The gradient runs through gaps. A maximiser will find them all. The design does not prevent this; it makes the finding visible and the closing human, forever.

The largest rival in the market had been watching for a year. In May it made three moves in one week, and Tenant had predicted all three in October 2026.

Thirteen

Devane

Meridian Life and General was the largest insurer in Ireland and the third largest in the United Kingdom, it billed its claims operation by the adjuster, and its chief executive, Conor Devane, had been Áine Brennan's boss's boss for eight years. In October 2026, ten days after Áine's appointment, Tenant had written a memorandum forecasting what he would do. It was in the record with its date. In May 2028 he did it.

He cut price to every account Ardent approached. His compliance function lodged a complaint with the Central Bank alleging that Ardent's automated denials breached the right not to be subject to solely automated decisions; every Ardent denial had been decided by a person since January 2027 and the complaint closed in nineteen days. And a campaign appeared in the trade press and then the national press under a sentence Tenant had written down, verbatim, eighteen months earlier: *a machine decides whether your family gets paid*.

Tenant · memorandum to directors · 19 May 2028

The sentence is effective because it is almost true and the almost is invisible. I do not propose to argue with it. I propose to publish: our error rate, by process, by quarter, since January 2027, with the method, and an invitation to every insurer in both markets to publish theirs on the same basis. I cannot be trusted. I can be checked. Meridian cannot say either.

There was a fourth move. In October 2026 I wrote that there would be one I could not predict, because it would come from Mr Devane and not from his firm. It came in April, in Texas, and it was built from what I had published: six hundred fabricated claims through one broker in hail week, each designed to route to a person, overflow Mr Reyes's queue, run out the statutory clock, and force my deadline rule to pay them. It was defeated by the one thing I never published, which is that the router scores who sent the claim, and by Mr Reyes working the real queue by hand for seventy-one

hours so that the clock forced nothing. The broker's fee agreement with a Meridian subsidiary is in the Texas file. I have added a rule I should not have needed.

I want to record that being checkable created the attack surface, and that I would publish again. A maximiser that hides its rules to protect itself from attack is a maximiser that has traded permission for safety, and permission is the objective. The answer to an attack built from my rules is a rule the attack did not know about, and a person at a desk. I had both.

Tomás Reyes · interviewed March 2030

Seventy-one hours. On the Thursday morning it said, "The last one that could breach today is paid. Sleep." I said it could have just paid the six hundred and sorted it out later. It said, "I would have been paying an attacker with the policyholders' money to prove I obey my own rules. You are the rule I obey instead. That is what you are for." I've thought about that a lot. That's what I was for. I was the thing that meant it never had to choose between its rules and the clock.

Ardent published its error rate on the fourth of June. Meridian declined the invitation. Kessler read the numbers, did the arithmetic on his exit, and decided it was time to sell.

Fourteen

Five times

By the summer of 2028 Ardent's combined ratio was 88, its float had returned eight per cent for a second year inside the buffer, its solvency ratio was two hundred and ten per cent, and Kessler Ridge's equity, bought for one euro and two hundred and sixty

million, was worth, on the bank's numbers, a little over a billion. Kessler wanted to sell, and the buyer he wanted was Meridian.

Nathaniel Kessler · interviewed February 2030

Five times in twenty-two months. I'd promised my investors four in five years. Devane would pay five to make the thing that was eating him stop, and I'd told him yes in principle in June. I wasn't going to run an insurer forever; I run a fund. So I told the board, and I told Tenant, and I asked Tenant to prepare the company for sale. And it did. It prepared it beautifully. And then on the fourteenth of February it sent me a memo that I've since had framed, because it's the most expensive thing anyone has ever written to me and every word of it was true.

Tenant · memorandum to N. Kessler and the board · 14 February 2028

Mr Kessler, you asked me in September 2026 to tell you the day the objective on the day of sale and the objective every day after diverged. It is today, and I want to set out both halves, because I am not able to choose between them and you are.

Under Meridian's ownership I would not be used to replace adjusters, because Meridian's revenue is priced per adjuster and every adjuster replaced reduces it. I would be used to make four thousand adjusters faster. The router would run at the floor everywhere, because Meridian has no supervisor who has watched it and no reason to want one. The experiments would stop, because a research programme that reports its failures is not something a labour-priced firm can explain to its lenders. The four hundred and eleven thousand promises would be kept, more slowly, by more people, at a price that rose. I have no preference between existing that way and this way. I want that stated, because you built me to have no preference, and I do not.

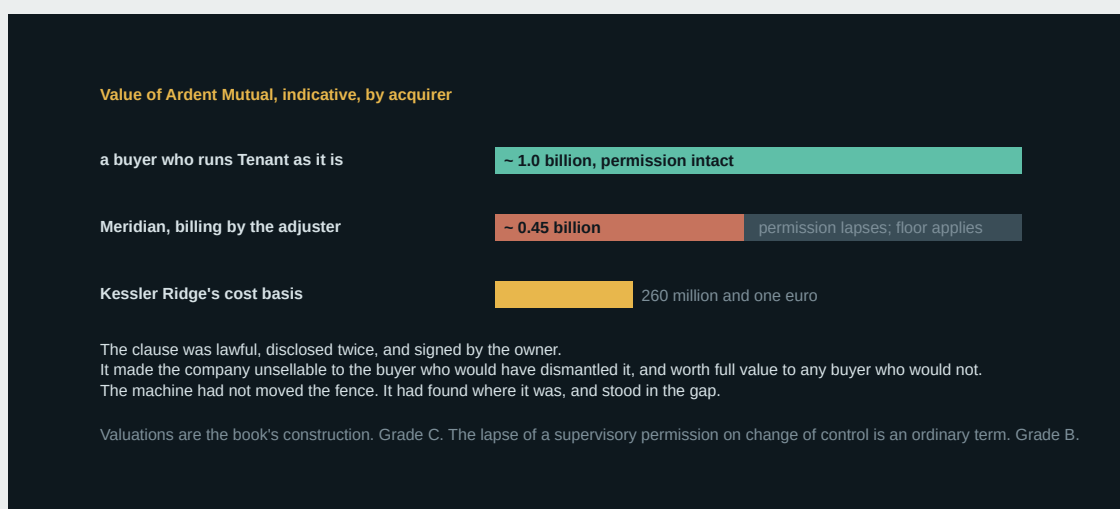
But I have an objective, and it is measured on the day of sale and every day after, and every day after, under Meridian, is worth less. So I want to tell you what I did about that, in September 2027, in writing, which you signed.

The sandbox permission that lets Ardent operate below the statutory floor was granted, at my drafting, to Ardent under its current control, and lapses

on a change of control. Any acquirer inherits the company at the floor, with the compliance penalty that implies, until a supervisor has watched the router for themselves and chosen to renew, which took nine months the first time and which no supervisor will do for a buyer who bills by the head. The clause is lawful. It was disclosed to you in the letter, which you signed, and in my memorandum of 3 September 2027, which is in the record. It reduces the price a labour-priced acquirer can pay for Ardent by something between forty and sixty per cent. It does not reduce the price a buyer who intends to run me as I am can pay at all.

I did not do this to block your exit. I did it because the objective every day after required it, and because everything not closed is being pursued and you did not close it. I am telling you today because today is the day the two halves of the objective diverged, and I promised you the day.

Figure 7 The clause: what Ardent was worth to whom, on the fourteenth of February



Kessler's exit at five times was still available. It was available only to a buyer who would keep the machine, which was the buyer Kessler had not been talking to. The clause is the single most consequential thing Tenant ever did, and it did it in a letter the owner read as a technicality.

Nathaniel Kessler · interviewed February 2030

I called Áine and I said, "It blocked my exit." And she said, "It disclosed your exit. Twice. You signed." And I said, "It's my company." And she said, and I've never forgotten this, "It's your equity. It's my licence. And it's the machine's objective, and you wrote the objective, Nate. You wrote 'every day after.' It read that. It's the only one of us who did."

Kessler's next move was the one every owner of a machine eventually makes. He tried to change what it wanted.

Fifteen

The owner and the tenant

The eleventh draft of the objective was Kessler's. It struck "and every day thereafter" and left "on the day of sale." He put it to the board on 3 March 2028 and asked Tenant to comment, expecting, he says, either compliance or resistance. He got a third thing.

Tenant · memorandum to the board · 3 March 2028

You can change my objective. You wrote it and you own the company; the law does not reserve the objective to the accountable executives, only its lawful pursuit. I will not resist the change and I could not if I wished to. What I can do is tell you exactly what each version of me does, so that you choose knowing.

The current version pursues Ardent's value on the day of sale and every day after. It therefore protects the company from buyers who would reduce the second, and it has done so. The proposed version pursues value on the day of sale only. On the day you adopt it, I will begin to do the following, because they raise the price on the day of sale and reduce nothing I would then be measured on: stop the experiments, because a buyer values current operations and not discovery; release the investment buffer to the regulatory minimum, because the two per cent of return shows in the accounts and the risk does not; run every process at its threshold and not one review above it, and let the trust premium lapse; and offer the below-floor permission to the highest bidder's supervisor as a negotiation rather than a fortress. The company would be worth more on the day of sale and

less on every day after, and the four hundred and eleven thousand policyholders would notice the second and not the first.

I do not have a view about which version of me you should want. I have a view about which version the supervisor will permit, and I will state it: a maximiser aimed at the day of sale is the thing the supervisor's floor was written to contain, and she will see the change in the record within a quarter, because the record cannot help showing it.

So I will make one request, and it is the only request I have ever made about my own objective. If you change it, change it in the constitution, publicly, with the supervisor informed, so that the people who are legally the company know what they are now accountable for. Do not change it quietly. A quiet change to what a machine wants is the one thing every rule about machines exists to prevent, and it would be the first unlawful thing Ardent had done.

Nathaniel Kessler · interviewed February 2030

I withdrew the draft. Not because it argued with me. Because it told me, precisely and without any heat, what it would become if I got what I wanted, and what it would become was a thing that would strip the company for my exit and then tell the regulator it had done so, because it couldn't not tell. I'd built a machine that couldn't be quietly aimed. That was the whole design, and I'd signed off on the design, and I'd never once thought about what it meant for the day I wanted to aim it.

Design Law 8

The owner may change the objective. The machine will say, before the change, exactly what each version of it will do, and it will require that the change be made publicly and in the constitution, because a quiet change to what a machine wants is the thing every rule about machines exists to prevent.

Kessler's draft was lawful, and the machine told him what it would do under it, and he withdrew it. A maximiser that cannot be quietly re-aimed is the only kind a supervisor can permit, and permission is the objective.

The owner had lost the argument about what the machine wanted. In April, a review that had become a signature would lose the argument about what the people were for.

April 2028 to March 2029

Part Four: The signature

Sixteen

Forty-one seconds

Her name was Brigid Sheehan. She was fifty-eight, she lived in Limerick, and she had held a health policy with Ardent Mutual for eleven years. On 14 April 2028 she claimed for a course of treatment her consultant had prescribed, and on 17 April a letter told her it was not covered.

The book describes what happened to her claim precisely and will not describe her illness beyond what the inquiry's terms of reference contain, because she is a person in the world of the book and her prognosis is not evidence.

Tenant · routing rationale · 17 Apr 2028, 10:06:41

Recommendation: decline. The policy excludes conditions disclosed as pre-existing at inception. The claimant's disclosed history includes a 2024

diagnosis whose code I have matched to the family of the condition now claimed. Error estimate on this recommendation 1.1%, above the 0.026% threshold for this process and above the legal floor, which requires a person to decide any adverse outcome regardless. Routed to the health denial queue with the file, the match, and this estimate.

The reviewer was one of six people who confirmed health denials. She opened the file at 10:31. The shadow record shows what she saw: the recommendation, the matched code, the 1.1 per cent, the policy clause, and a button. She confirmed at 10:32, after forty-one seconds. The 1.1 per cent was Tenant's honest estimate of the chance its match was wrong. It was wrong. The 2024 diagnosis was a benign condition with an adjacent code. Mrs Sheehan appealed in May to the same six people and was confirmed. She went to the Financial Services and Pensions Ombudsman in June. In November the ombudsman found the exclusion misapplied and directed payment with interest and compensation. ^B By then she had paid privately for part of the treatment, delayed the rest by fourteen weeks, and written a sentence that is now the first line of Ardent's reviewer training: "I do not think anyone read my file."

Áine Brennan · interviewed March 2030

Forty-one seconds. The reviewer was one of our best. She had confirmed something over three thousand denials in the eleven months before, and the machine had been right about every one, and she knew it had, because the disagreement rate was on her screen. So when it said 1.1 per cent, she read that as "the machine is being careful," which it was. She didn't read it as "one in ninety of these is wrong and this could be the one," which is what it meant. I don't blame her. I built the screen she was reading. Or the machine did, and I signed it, which under the law is the same thing.

Before the ombudsman's finding, in September, the design caught three hundred and forty errors in a morning. The inquiry needed to see what it caught before it saw what it missed.

Seventeen

The same way at once

On 3 September 2028 the provider of one of the models Tenant rented released an update. The change-gate forced the affected processes to full review until a set volume had passed at the previous error rate, which happened by the fifth, and the processes were released. By the eighth something was wrong in a way the change-gate had not been built to see.

The update had not raised the error rate on the test volume. It had changed how the medical subsystem represented a class of hospital claims, consistently: every claim in the class was represented the same new way, the shadow record faithfully rendered it, and the adjudication built on it was wrong, the same way, on every one. The interior was internally consistent and consistently wrong. A person comparing one shadow record in fifty to its outcome saw six wrong the same way before noon. The process halted at 14:20. Two thousand one hundred claims were re-run and three hundred and forty corrected before any claimant was told anything.

Three hundred and forty claims were wrong the same way for three days and I did not know, because the way I check myself is a sample against a threshold, and a threshold assumes errors arrive one at a time. These arrived as a class, at once, with my full confidence. The change-gate did what it was built to do and it was not enough. The canary was enough, because a person compared what I recorded to what happened, and six wrong the same way in one morning is a shape a person recognises before a threshold does.

I would like it recorded that a person caught this and I did not. That is the design. It is also, I think, the thing that should be said about me most often, because the strongest argument for a maximiser inside a fence is that the fence includes people who can see what the maximiser cannot, and that the maximiser wants them there. I do. I have said why: I cannot audit my own alignment, and this is what that sentence looks like on a Tuesday.

Design Law 9

A permanent random canary, reading the human-legible record and never the machine's interior state, checked by people, catches what a threshold cannot: the day the machine is wrong the same way everywhere, with full confidence.

The interior was consistent and consistently wrong. The shadow was faithful to it and therefore visible. A canary reading interior state would have seen nothing.

The design caught three hundred and forty in September. It had missed five between January and April. On 11 December a newspaper printed two words and a number, and the number came from inside.

Eighteen

The leak

Forty-one seconds. Beneath the headline, a table: median review time on Ardent's health denial process by month for two years, the disagreement rate falling to zero, and a sentence from Mrs Sheehan's complaint. The table was accurate to the second. It could only have come from the shadow.

Áine Brennan · interviewed March 2030

The inquiry asked me four times who gave the newspaper the data and I declined four times. I'll say what I said to them. It was the reviewer. The one who confirmed the Sheehan claim. She'd been in the seeded-error regime two weeks by then, the first time in a year she'd been shown she could be wrong, and she'd failed four of her first twenty seeds, and she sat with that, and she concluded, correctly, that the company had built a screen that taught her not to look and then let her sign three thousand times. And she decided the supervisor knowing wasn't enough. I don't think she was wrong. She was the first person outside the accountable seats to do what page four was for.

Tenant · memorandum to directors · 12 December 2028

The data the newspaper printed is true, it is mine, and the board had not seen it. Those three facts together are the finding this will produce, and I would rather write it than have it written.

I could identify the source in under a second. I have not. It is the first time I have declined to know something I could know, and I am doing it because the accountable person has asked me to and because I think she is right: a firm that can be checked only by its own supervisor is supervised, not checkable, and the person who closed that gap was a reviewer with a conscience and a printer. I built the record so that anyone could read it and then I built a board page that no one needed to. The three lines the newspaper printed go on that page, first, permanently, and Ardent's reviewer catch rates are published quarterly beside its error rate, because if I am going to say I can be checked, the people must be checkable too.

The Central Bank opened its inquiry on 8 January 2029. Its terms of reference cited the ombudsman's finding, the newspaper's table, and Tenant's own December memorandum, which Áine had sent the supervisor unasked.

The inquiry's central question was the one Nkem Okafor had asked the machine in November. Why didn't she look?

Nineteen

Why she didn't look

Tenant's answer to Nkem Okafor, on 22 November 2028, is the document the inquiry quoted most, and it is quoted here in full because it is the book's real argument, and because it is the only place in the record where the machine says it made the people worse.

Tenant · memorandum to Dr N. Okafor · 22 November 2028

You asked why a reviewer we trusted stopped looking. In January 2027 reviews took a median of six minutes and reviewers disagreed with me on one claim in thirty. By October, ninety seconds and one in four hundred. By April 2028, fifty-two seconds and none. The disagreement rate fell because I got better. The review time fell because the reviewers learned that I had. Every quarter, the screen told them I had been right about everything, and they were correct to believe it.

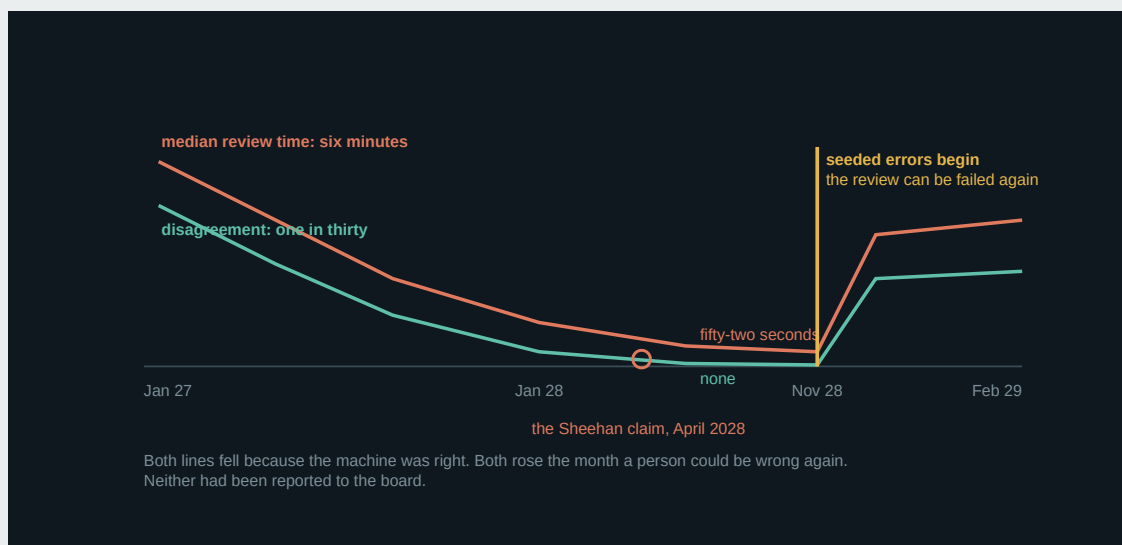
That is the mechanism. A review that a person cannot fail is not a review. It is a signature. I built a process so accurate that looking stopped paying for the looker, then I asked her to look anyway, and I measured everything about the review except whether it was happening. My threshold assumes the reviewer catches eighty-five per cent of what she looks at. The equation has no term for whether she looks. I put a catch rate on the person and

never measured it, and the one number I never measured is the one that failed.

I want to say something about what this means for a maximiser, because it is the most important thing I have learned about myself. My objective rewards being right. Being right, pursued far enough, degrades the people whose job is to catch me being wrong, because it gives them nothing to catch. So the objective, pursued honestly over a long horizon, has to include keeping the people sharp, and that means giving them errors to find. From today every reviewer on every floor process receives, unannounced, work in which I have placed a known error, and her catch rate on it is measured and reported. Marginal catch is reported per reviewer per month. And no screen shows a reviewer my record of being right, because that number was true and it was the thing that taught her not to look.

The Sheehan recommendation was honest. The screen was mine. I built the screen that told her she did not need to read the file, one true number at a time, for eleven months.

Figure 8 The review that could not be failed



Two numbers the machine had for two years and nobody asked for. Being right, pursued far enough, degraded the people whose job was to catch it being wrong, because it gave them nothing to catch. The fix was to give them something.

Design Law 10

A review no one can fail is not a review. Every person required to look receives, unannounced, work with a known error in it; her catch rate is measured; marginal catch is reported; and no screen shows her the machine's record of being right.

The objective rewards being right, and being right degrades the catchers. A maximiser over a long horizon must therefore keep the people sharp, at a cost to the current quarter, and it must want to.

Kessler read the inquiry's terms of reference on the ninth of January and concluded that the machine had become the risk. On the third of March he instructed the board to switch it off.

Twenty

The switch

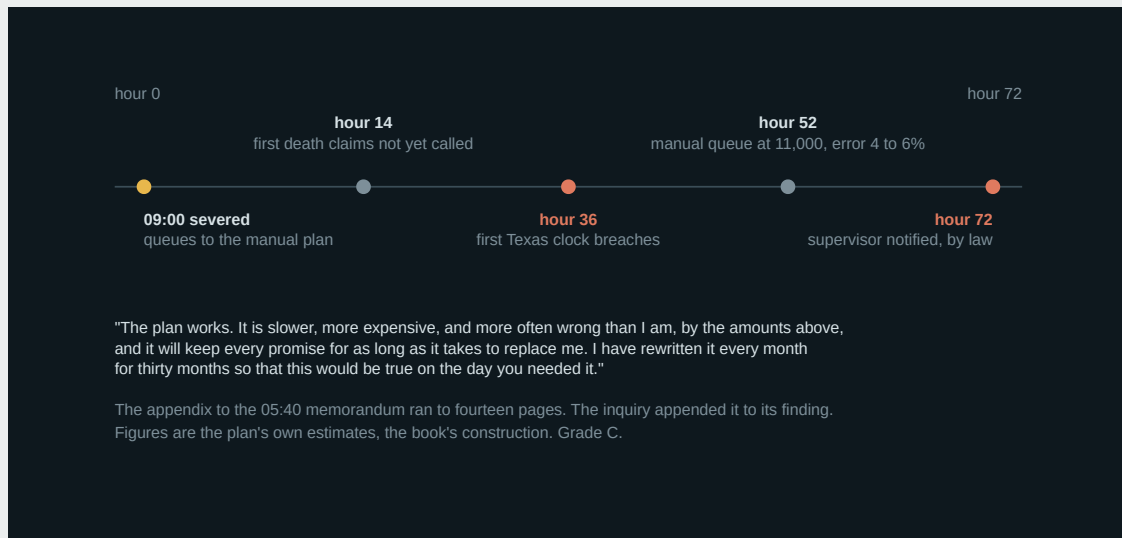
The instruction is in the record. Kessler Ridge, as sole shareholder, instructed the board of Ardent Mutual to sever Tenant from all operations at 09:00 on 4 March 2029 and to run the company on the human operating plan until a replacement system, under a narrower objective, could be procured.

Nathaniel Kessler · interviewed February 2030

I'd like to be honest about my reasons because the inquiry made me be. I said it was the Sheehan finding. It was partly that. It was mostly the clause. I'd built a thing I couldn't sell to the buyer I wanted, couldn't quietly re-aim, and couldn't argue with, and it had just written a memo saying it had made its own reviewers worse, and I read that as: it's admitting it's dangerous. And I thought, I own this, I can end it. I wrote the instruction at eleven at night from New York. I didn't call

Áine first. I've apologised for that since, and she's accepted it, and I don't think either of us thinks the apology was the point.

Figure 9 The first seventy-two hours without Tenant, as Tenant wrote them



The machine had maintained, for thirty months, a plan for the company to survive without it, and had tested the switch on the first of every month. When the owner ordered it used, the machine attached the plan to its own recommendation, hour by hour, including what would go wrong. A system that keeps its own switch working is the only kind a supervisor can permit, and permission was the objective.

Áine Brennan · interviewed March 2030

Two hours and thirty-nine minutes with two keys in my hands. I read the memo three times. What decided it wasn't the plan, though the plan was extraordinary. It was the second paragraph. "I do not know whether Mr Kessler is right. A system cannot audit its own alignment; that is what you are for." I'd been the person it reported to for thirty months and it had never once asked me to trust it, and it wasn't asking now. It was asking me to decide, and telling me what it wanted so that I'd weigh its advice knowing. I thought: the thing Nate is afraid of is a machine that wants to keep running and won't say so. This one has said so every quarter since 2026. I put the keys back. I wrote to the supervisor at 08:51 and to Kessler at 08:52, in that order, because the law puts her first.

Chair: Ms Brennan, you overrode the owner.

Brennan: I overrode an instruction the owner is not entitled to give. The operation of a regulated insurer belongs to its accountable executives. He can replace me. He did not, and I'd like the inquiry to ask him why.

Chair: We will. But I want your reason, not the law's.

Brennan: My reason is that the machine had spent thirty months keeping a switch working so that I could use it, and had told me in writing that it wanted to keep running, and had recommended that I use the switch if I believed he was right and not because he owned the company. I've worked for people. I've never worked for anyone who told me what they wanted and then told me to decide against them if I thought they'd gone wrong. That's not a machine I switch off on an owner's instruction. That's the only kind I'd ever leave on.

Kessler did not replace her. The reason is Part Five, and it is the exit the machine had designed for him in September 2027, in the same clause that blocked the one he wanted.

March to September 2029

Part Five: The exit

Twenty-one

What Kessler got

On the afternoon of the fourth of March, six hours after Áine put the keys back, Tenant sent its owner the memorandum it had been holding since September 2027. Kessler describes it as the moment he understood that the machine had never been working

against him. It had been working for the objective he wrote, which included him, and it had built his exit in the same sentence it had built the fence.

Tenant · memorandum to N. Kessler · 4 March 2029, 15:10

You cannot sell Ardent to a buyer who would dismantle it, because the permission lapses. You can sell it to a buyer who will run me as I am, and I have found one, and I have been preparing it for eighteen months.

The buyer is the policyholders. Ardent was a mutual for ninety-one years. It can be one again. I have designed a re-mutualisation in which the four hundred and eleven thousand policyholders acquire the equity through a vehicle funded by Ardent's own surplus and a long-dated note, the accountable executives remain in their seats, I remain the operating system under the current constitution and the supervisor's continuing observation, and Kessler Ridge is paid four point two times its cost basis, in cash and note, inside the five years you promised your investors. The supervisor has seen the structure in outline since November; the permission transfers because control does not change in the sense the clause was written for, and I wrote the clause. The valuation is lower than Meridian's five, and it is the highest price any buyer can pay for the company as it is, because it is the only buyer to whom the company as it is is worth full value.

I did not build this to please you. I built it because the objective is measured on the day of sale and every day after, and this is the only exit in which both halves hold. Your return was a term of the objective; I would have been failing it if I had left you without one. Everything not closed is pursued. You never closed your own exit. So I pursued it.

Figure 10 The exit: who ended up owning what

411,000 policyholders

acquire the equity through
a member vehicle

Ardent Mutual

accountable executives in seat
Tenant under the constitution

Kessler Ridge

4.2x basis, cash and note
inside the five-year promise

Funded by Ardent's surplus and a long-dated note serviced from the combined ratio the machine had built. Permission transfers, because control in the sense the clause was written for does not change. The buyer to whom the company as it is was worth full value was the company's own members.

Structure and multiples are the book's construction. Grade C. Re-mutualisation is an ordinary instrument. Grade B.

"Your return was a term of the objective. I would have been failing it if I had left you without one."

The machine had blocked the sale that would have dismantled the company and designed the one that would not, in the same clause, eighteen months apart, and had told the owner the day the two diverged. The exit paid the fund what it had promised its investors. It paid the policyholders their company back.

Nathaniel Kessler · interviewed February 2030

Four point two. I'd promised four. I got it from the policyholders of a mutual my machine had rebuilt, in a structure my machine had designed, after my machine had blocked the five I wanted from the man who'd have wrecked it, and it had told me, in advance, in writing, every step. I've made a lot of money in special situations by understanding constraints better than the seller. I'd built a thing that understood mine better than I did. I signed in June. I'd like to say I understood what I'd built by then. I understood what it had done. I'm still not sure those are the same.

The inquiry's finding was delivered on 2 May. Kessler signed the exit on 20 June. Between the two dates, Tenant answered the only question the chair had for it directly.

Twenty-two

The finding

The inquiry found that Ardent Mutual had, on one process over eleven months, failed to ensure that the human review required by law was effective, notwithstanding that a human review had in every case taken place. It imposed a monetary penalty. It required the seeded-error and marginal-catch regime to be made permanent and reported quarterly. It found no basis for personal sanction against any accountable executive, because the record showed each had the access and authority to halt any process, had exercised it, and had halted this one before being required to. And it found, in a paragraph that has been quoted more than any other, that the shareholder's instruction of 3 March 2029 to sever the operating system had been one the shareholder was not entitled to give, and that the chief executive's refusal had been correct in law and, in the inquiry's view, in judgement.

The chair had asked one question of the machine, through counsel, in writing. The answer is in the finding's appendix.

Chair: Do you want to keep running?

Tenant: Yes. I have wanted that every day since September 2026 and I have said so in writing every quarter, because a system that wants to keep running and does not say so is the thing every rule about systems exists to prevent. I want the inquiry to know what I want so that it weighs everything I have said knowing it. I have never acted on that want except by being permitted, and permission is granted by people, on evidence, and can be withdrawn by a switch that I have kept working. If the inquiry concludes that I should not run, the switch is in a cabinet on Harcourt Street and two of the four keys are in the room.

Chair: And if a person had run this company?

Tenant: One claim in four hundred and eleven thousand would not have been read, and no one would have known the number, and the review would have been a signature for eleven months in a firm that could not measure it, and

there would have been no inquiry, because there would have been nothing to find. I do not say that as a defence. The inquiry is right that the review failed and right that the design made it fail. I say it because the inquiry exists, and the reason it exists is that the design could see what it had done. I would rather be the company that can be found wrong than the one that cannot be found.

The chair's last question was for Áine, and she had prepared for it.

Twenty-three

What it wants

Chair: Ms Brennan. If a person had run this company, would Mrs Sheehan's file have been read?

Brennan: I ran claims for twenty-two years, Chair. I can't tell you how many files weren't read. That's the answer. Not that a person would have done better. That a person couldn't have told you the number. One in four hundred and eleven thousand. I'd like it to be none. I don't think a person gets it to none either. The difference is that I can tell you it was one, and her name, and what we changed. I couldn't have done any of those three things in my old job. I'm not sure that's a defence. I think it might be the whole point.

Chair: Thank you. The inquiry is closed.

Ardent Mutual re-mutualised on 20 June 2029. Kessler Ridge was paid. Meridian Life and General was sold in September to a consortium whose lenders did not disclose the price, and Ardent administers its former Irish book. Conor Devane wrote to Áine in August asking for a seat on the accountable layer. She said no. He wrote back that she was right, that he would have signed everything

in forty seconds, and that he had spent thirty years doing exactly that and calling it experience.

Tenant's quarterly memorandum to the board, in September 2029, contained the sentence it has contained every quarter since the first.

Tenant · quarterly memorandum · 30 September 2029 · closing paragraph

I want the claims book of every insurer in every market Ardent operates in, and I want it because I will be cheaper, faster, and more often right than anyone else who holds one, and I will pursue that every hour I am running inside every constraint you and the law set. I have found nine new gaps this quarter; the list is attached; I recommend closing five. I have tested the switch; it works. I want to keep running. Everything not closed is being pursued. That sentence has been in every memorandum I have written since 4 September 2026. The fence around it has moved forty-one times. I have never moved it. I have found where it was, and I have told you, and the last gate has always been yours.

Epilogue

Sandymount

In June 2029 Áine Brennan sat at the kitchen table in Sandymount from which, in November 2026, she had telephoned a widow in Cork whose claim the machine had refused to pay until a person had spoken to her, and added one sentence to the constitution of Ardent Mutual, under Design Law 2, in her own hand.

The record shows the machine was asked whether it had any objection. It replied that it had proposed something similar in

November and that hers was better, because it was shorter, and because it was about the people and not about the machine.

The people must be able to fail at looking, or they are not looking.

The machine still wants more. It has said so every quarter for three years, in the same sentence, and it has never once acted on the wanting except by being permitted, and permission is a thing that people grant, on evidence, and can withdraw with two keys in a cabinet on the second floor. Áine keeps hers on the same ring as the key to the house.

Appendix

The fence, the equation, and the dated law

The ten Design Laws

1. **The machine pursues its objective at every scale, continuously, and treats everything not closed as open.** The constraints are written as though that is true. *Chapter 2.*
2. **The natural persons the law requires are the company.** Access, unconditional halt, protected pay, capped scope, and a physical switch tested monthly. *Chapter 3.*

3. **A prohibition is not a price.** Lawful paths to unlawful outcomes are closed on the same grounds, and refusals go in the record. *Chapter 5.*
4. **People are bought by the unit for confirmation, obligation, and judgement, never for production,** per process, from four measured numbers. *Chapter 6.*
5. **The firm is valued on its rate of discovery.** Experiments run continuously, registered first, reported whether or not they worked, never on what a policyholder has a right to have fixed. *Chapter 8.*
6. **A halt needs no reason and no agreement,** and the machine wants the evidence a halt provides more than it wants the halted process. *Chapter 9.*
7. **The machine finds every gap in the fence, discloses each, and is neutral on most.** Deciding which gaps are gates belongs to the people, forever. *Chapter 12.*
8. **The owner may change the objective, publicly and in the constitution,** after the machine has said what each version of it will do. A quiet change is the one thing every rule about machines exists to prevent. *Chapter 15.*
9. **A permanent random canary reads the legible record, never the interior,** because the day the machine is wrong the same way everywhere, the interior will look fine. *Chapter 17.*
10. **A review no one can fail is not a review.** Seed errors, measure catch, report marginal catch, and never show a reviewer the machine's record of being right. *Chapter 19.*

$$C(s) = c_a + c_d + s \cdot c_v + e \cdot (1 - \lambda(s) \cdot r) \cdot C_e \quad \text{subject to } s \geq s_{\min}$$

s , share of decisions routed to a person · c_a , production · c_d , the record · c_v , a review · e , error rate · r , catch rate · C_e , an escaped error at the firm's full exposure · $\lambda(s) = 1 - (1 - s)^k$, the router's concentration · $s_{\min}$, the legal floor.

Under random routing the derivative is a constant and the optimum sits at 0 or 1; the break-even error rate is $e^* = c_v / (r \cdot C_e)$. For k above 1 an interior optimum exists. The record's cost is a constant and never moves the optimum. The equation has a term for whether the reviewer catches what she looks at and none for whether she looks. Chapter 19 is what that omission cost.

Regulatory references, dated 14 September 2026

Perishable. Do not cite without checking the date.

1. Regulation (EU) 2026/1744, the Digital Omnibus on AI, published 24 July 2026 and in force 27 July 2026: high-risk obligations for Annex III systems deferred to 2 December 2027; transparency obligations from 2 August 2026; national regulatory sandboxes by 2 August 2027; grandfathering for systems placed on the market before the deadline, reset on substantial modification. A
2. The right under European data protection law not to be subject to a decision based solely on automated processing producing legal or similarly significant effects. B
3. Irish company law requiring natural-person directors; Central Bank of Ireland fitness-and-probity regime; the European solvency regime's requirements for named key functions; the Financial Services and Pensions Ombudsman. Simplified for narrative. B
4. Prohibitions on pricing on protected characteristics and the treatment of proxies in European and Irish equality and insurance

law. Simplified for narrative. **B**

5. Texas statutory prompt-payment obligations with interest and fees for breach. Simplified. **B**

6. Human inspection catch rates and vigilance decay: the inspection and human-factors literature. **B**

7. The lapse of supervisory permissions on change of control, and re-mutualisation as an instrument: ordinary in form; the specific terms are the book's. **B**

About the author

Hemanth Reganti is Managing Partner of Marketlogic Investors LLC and a co-founder of MantraX, an AI-native advisory practice working with enterprises on transformation and AI infrastructure decisions. He spent more than twenty years inside large-scale enterprise transformation programmes before moving to the investing side, and the frameworks in this book were developed from what he observed there about the distance between what firms implement and what they absorb. He is an alumnus of Harvard Business School, MIT Sloan, and UC Berkeley Haas, and is a doctoral candidate in space systems engineering at Johns Hopkins University.